

not unusual among America's industrial cities.

A job in a South Carolina cotton mill might pay \$8.25 per week for 11-hour shifts, five days a week. You were among the lucky if you got such a job. Children under 16 years of age toiled at textile mills for \$3.10 per week.

Of course, a dollar was worth a lot more then than now. You could mail a letter for 2 cents and grab a cup of coffee for a nickel. The cost of gasoline was only 8 cents a gallon. Lunch might cost you a dollar. There were no lines.

An ounce of gold, before Roosevelt took the United States off the gold standard, was only \$20.67. The exact same ounce of gold today would set you back about \$1,400. "Some people have the rather naïve idea that a 2½% annual inflation rate is benign," writes David Feldman. "Actually, 2½ % is horrendous! Compounded over a period of ten years, it results in a 28% cost-of-living increase." (In terms of real returns, the 15 years following 1966 were worse for stock market investors than the 1930s because price inflation was so high. In the 1930s, prices fell.)

What did it all teach Feldman? He lost a lot of money in the crash and its aftermath, like almost everyone else. "One thing that this experience taught me was that, in investing, you should never cry over spilt milk," he writes. "Only the future is of importance."

In 2008, I didn't know whether we were headed for a 1930s-style depression. I think we were as close to such a precipice as at any time since the 1930s. As an investor, though, I knew — and wrote at the time — that valuations made it too compelling to leave the market then.

I also learned it was critically important to have some cash. "Cash was king," Feldman writes of the depths of the Great Depression. "If you happened to have any, you were really in the driver's seat." Cash means you have options and you are not reliant on fickle lenders.

As the 17th-century wanderer and memoirist Jack Casanova wrote, "My ill fortune no less than my good proved to me that ... good comes from evil as evil comes from good." Likewise, 2008 was a good fortune in disguise that allowed investors to pick up new holdings on the cheap.

So again we see the wisdom of the lessons learned from Odium: it's good to have cash and not be afraid to buy when things look bad.

John Dix: Avoid Debt